AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X EXAMINATION

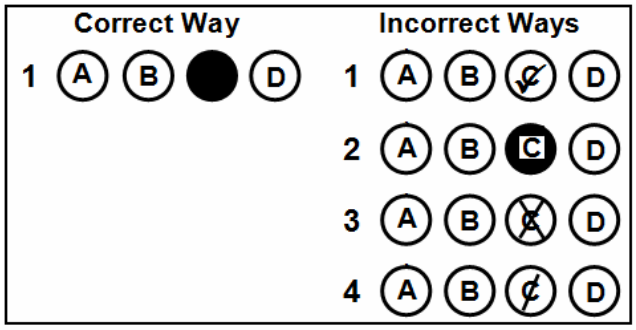
MAY 2015

Principles of Accounting Paper I

Time: 35 minutes Marks: 25

INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.

1. The main objective of charging depreciation on a non-current asset is to

   A. reduce expenditure of the company.
   B. calculate the true profit of the company.
   C. spread the cost of asset over its useful life.
   D. provide funds for the replacement of old assets of the company.

2. Ms Munira purchased a dispenser machine for Rs 100,000. She paid the following expenses before the machine started working.

Particulars	**Amount (Rs)**
Transportation charges	3,500
Installation charges	4,500
Insurance in transit	15,000
3 year fire insurance	25,000
Additional component to hold cones	7,000

   The total cost of the machine recorded in the books will be

   A. Rs 108,000.
   B. Rs 123,000.
   C. Rs 130,000.
   D. Rs 155,000.

3. On 1st January, 2012, Al-Rahim Corporation purchased a computer for Rs 160,000 with scrap value of Rs 10,000. The corporation uses 20% diminishing balance method of depreciation and their accounting year ends on 31st December. The depreciation amount for the year 2013 will be

   A. Rs 24,000.
   B. Rs 25,600.
   C. Rs 30,000.
   D. Rs 32,000.

4. The following details are extracted from the books of Aleem & Company.

Particulars	Amount (Rs)
Account receivable	200,000
Allowance for bad debts	20,000

The company decided to revise the rate of doubtful debts from 10% to 20%. The General Journal entry to adjust the bad debts expense will be

	Particulars	P/R	Debit	Credit
A	Bad debts expense		20,000	
	Allowance for bad debts			20,000
B	Bad debts expense		40,000	
	Allowance for bad debts			40,000
C	Allowance for bad debts		20,000	
	Bad debts expense			20,000
D	Allowance for bad debts		40,000	
	Bad debts expense			40,000

5. The General Journal entry to decrease the provision for doubtful debts is

	Debit	Credit
A	Bad debts expense	Allowance for bad debts
B	Allowance for bad debts	Bad debts expense
C	Allowance for bad debts	Suspense account
D	Bad debts expense	Expense and revenue summary

6. The expenditure due to which the capacity and efficiency of a non-current asset increases is classified as a/ an

A. capital expenditure.
B revenue expenditure.
C. miscellaneous expenditure.
D. administrative expenditure.

7. Asma Publishers paid rent for three years in advance on 1st January, 2014. The rent for each month is Rs 3,000. What would be the closing balance of prepaid rent on 31st December, 2014?

A. Rs 3,000.
B. Rs 36,000.
C. Rs 72,000.
D. Rs 108,000.

8. A company's trial balance shows the salary expense of Rs 25,000. At the year end the adjusting data reflects an accrued salary of Rs 3,000.

The adjusted General Journal entry for the salary account will be

	Particulars	P/R	Debit	Credit
A	Salary expense		3,000	
	Prepaid salary			3,000
B	Salary payable		3,000	
	Prepaid salary			3,000
C	Salary expense		3,000	
	Salary payable			3,000
D	Salary expense		3,000	
	Cash			3,000

Carefully study the given information to answer Q9 and Q10.

The following accounting records are extracted from the books of Hamza & Co.

Particulars	Amount (Rs)
Sales revenues	120,000
Purchases	80,000
Opening inventory	10,000
Ending inventory	15,000
Purchases returns	3,000

9. The gross profit of the company will be

A. Rs 45,000.
B. Rs 48,000.
C. Rs 225,000.
D. Rs 228,000.

10. Using the giving information of Hamza & Co., the cost of goods sold will be

A. Rs 72,000.
B. Rs 75,000.
C. Rs 78,000.
D. Rs 80,000.

11. The closing entry for sales revenue account will be

	Particulars	P/R	Debit	Credit
A	Sales		XXX	
	Purchases			XXX
B	Sales		XXX	
	Expense and revenue summary			XXX
C	Expense and revenue summary		XXX	
	Sales			XXX
D	Purchases		XXX	
	Sales			XXX

12. The following information was extracted from the accounts of Ammar Traders

Particulars	Amount (Rs)
Drawing during the year	15,000
Capital at 31st December, 2014	250,000
Net income for the year	50,000
Additional cash investment during the year	25,000

What was the capital at the start of Ammar Trader on 1st January, 2014?

A. Rs 250,000
B. Rs 290,000
C. Rs 310,000
D. Rs 325,000

13. The following information is extracted from the books of Abbasi Brothers.

Particulars	Amount (Rs)
Advertisement expense payable at 01st January, 2014.	7,000
Advertisement expense payable at 31st December, 2014.	9,000
Advertisement expense paid during the year 2014	27,000

What will be the amount of advertisement expense during the year 2014?

A. Rs 25,000.
B. Rs 27,000.
C. Rs 29,000.
D. Rs 36,000.

14. Raffay purchased a bicycle for Rs 1,000 and sold it with 25% markup. His gross margin percentage will be

A. 20 %
B. 25 %
C. 100 %
D. 125 %

15. The following information has been extracted from the books of Alpha & Co, regarding credit purchases.

Particulars	**Amount Rs**
Creditors on 1st January 2014	12,000
Creditors on 31st December 2014	15,000
Paid to creditors during the year	32,000
Purchases returns	2,000

What will be the amount of credit purchases during the year 2014?

A. Rs 12,000
B. Rs 15,000
C. Rs 20,000
D. Rs 37,000

16. Anwar Sons, a confectionary distributor paid Rs 3,000 as license fee for one of his truck drivers, but due to misunderstanding, the bookkeeper recorded the amount to the transportation expenditure. Such an error is classified as an

A. error of omission.
B. error of principle.
C. error of commission.
D. error of original entry.

17. The entry to correct the error mentioned in Q16 will be

	Particulars	**P/R**	**Debit**	**Credit**
A	License fee		3,000	
	Cash			3,000
B	License fee		3,000	
	Transportation expense			3,000
C	Transportation expense		3,000	
	License fee			3,000
D	Cash		3,000	
	Transportation expense			3,000

18. Mrs Salma runs a grocery store. She sold goods on credit to Mr Kaleem for Rs 230 but it was not recorded in the books. Such an error will be termed as an

A. error of omission.
B. error of original entry.
C. error of compensation.
D. error of complete reversal.

19. A temporary account opened to balance the difference between the debit total and the credit total of the trial balance is known as

A. control account.
B. suspense account.
C. sundry expenditure account.
D. expense and revenue summary account.

20. Purchases return account and wages account are both overstated by Rs 3,500 in the books of fortune limited. Which of the following General Journal entry should be made to rectify the error?

	Particulars	P/R	Debit	Credit
A	Purchase account		3,500	
	Expense and revenue summary account			3,500
B	Wages account		3,500	
	Expense and revenue summary account			3,500
C	Wages account		3,500	
	Purchases account			3,500
D	Purchase return account		3,500	
	Wages Account			3,500

21. Subscription in advance is considered as a/ an

A. income for the club.
B. expense for the club.
C. current asset for the club.
D. current liability for the club.

22. During the year 2011, Ali Sports Club received Rs 36,000 as subscription fee from its members. Other accounting information is as follows:

Particulars	1st January, 2011	31st December, 2011
Subscription in advance	Rs 3,000	Rs 4,000
Subscription in arrears	Rs 5,000	Rs 2,000

What is the amount of subscription to be included in income & expenditure account for the year 2011?

A. Rs 32,000
B. Rs 36,000
C. Rs 40,000
D. Rs 41,000

23. Over expenditure of a non-profit organization is known as

A. surplus.
B. deficit.
C. commission.
D. unearned income.

24. Which of the following account heads will appear in an income and expenditure account of a non-profit organization?

A. Fixture and furniture
B. Capital fund and surplus
C. Subscription fee and donations
D. Commission income and investment

25. In the accounts of a non-profit organization, the term 'capital' is replaced with

A. equity.
B. revenue.
C. cash fund.
D. accumulated fund.

END OF PAPER